How does Robinhood's financial position compare with industry benchmarks, and what areas of financial performance present the greatest opportunities or risks?

Robinhood 10-K, Financial Statements, and Financial Ratios:

- Robinhood's 2025 10-K Annual Report can be found HERE
- Attached are financial statement screenshots from that report

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (LOSS)

(in millions)	Year Ended December 31, 2023	2024	2025
Net income (loss)	$ (541)	$ 1,411	$ 1,883
Other comprehensive income (loss), net of tax:			
Foreign currency translation	—	(1)	9
Net losses on hedging instruments:			
Net loss on hedging instruments during the period	(4)	—	—
Reclassification adjustment for net losses included in net income	1	3	—
Net gain (loss) on hedging instruments	(3)	3	—
Total other comprehensive income (loss), net of tax	(3)	2	9
Total comprehensive income (loss)	$ (544)	$ 1,413	$ 1,892
Total comprehensive income (loss) attributable to non-controlling interest	—	—	—
Total comprehensive income (loss) attributable to Robinhood	$ (544)	$ 1,413	$ 1,892

CONSOLIDATED BALANCE SHEETS

(in millions, except share and per share data)	December 31, 2024	2025
Assets		
Current assets:		
Cash and cash equivalents	$ 3,332	$ 4,261
Cash, cash equivalents, and securities segregated under federal and other regulations	4,724	5,749
Receivables from brokers, dealers, and clearing organizations	471	426
Receivables from users, net	8,239	17,994
Securities borrowed	2,236	2,484
Deposits with clearing organizations	486	703
User-held fractional shares	2,630	3,782
Held-to-maturity investments	398	—
Deferred customer match incentives	100	185
Other current assets, including current prepaid expenses of $76 as of December 31, 2024 and $127 as of December 31, 2025	584	799
Total current assets	25,103	36,385
Property, software, and equipment, net	136	154
Goodwill	179	385
Intangible assets, net	38	169
Non-current deferred customer match incentives	195	428
Other non-current assets, including non-current prepaid expenses of $17 as of December 31, 2024 and $11 as of December 31, 2025	535	687
Total assets	$ 26,187	$ 38,157
Liabilities and stockholders' equity		
Current liabilities:		
Accounts payable and accrued expenses	$ 397	$ 483
Payables to users	7,448	11,986
Securities loaned	7,463	11,526
Fractional shares repurchase obligation	2,630	3,782
Other current liabilities	266	974
Total current liabilities	18,104	28,771
Other non-current liabilities	111	215
Total liabilities	18,215	28,986
Commitments and contingencies (Note 15)		
Stockholders' equity:		
Preferred stock, $0.0001 par value, 200,000,000 shares authorized, no shares issued and outstanding as of December 31, 2024 and December 31, 2025.	—	—
Class A common stock, $0.0001 par value, 21,000,000,000 shares authorized, 764,903,597 shares issued and outstanding as of December 31, 2024; 21,000,000,000 shares authorized, 790,331,896 shares issued and outstanding as of December 31, 2025.	—	—
Class B common stock, $0.0001 par value, 700,000,000 shares authorized, 119,549,186 shares issued and outstanding as of December 31, 2024; 700,000,000 shares authorized, 110,996,736 shares issued and outstanding as of December 31, 2025.	—	—
Class C common stock, $0.0001 par value, 7,000,000,000 shares authorized, no shares issued and outstanding as of December 31, 2024 and December 31, 2025.	—	—
Additional paid-in capital	12,008	11,284
Accumulated other comprehensive income (loss)	(1)	8
Accumulated deficit	(4,235)	(2,152)
Non-controlling interest	—	31
Total stockholders' equity	7,972	9,171
Total liabilities and stockholders' equity	$ 26,187	$ 38,157

CONSOLIDATED STATEMENTS OF OPERATIONS

(in millions, except share and per share data)	Year Ended December 31, 2023	2024	2025
Revenues:			
Transaction-based revenues	$ 785	$ 1,647	$ 2,628
Net interest revenues	929	1,109	1,514
Other revenues	151	195	331
Total net revenues	1,865	2,951	4,473
Operating expenses:			
Brokerage and transaction	146	164	211
Technology and development	805	818	897
Operations	116	112	130
Provision for credit losses	43	76	114
Marketing	122	272	399
General and administrative	1,169	455	628
Total operating expenses	2,401	1,897	2,379
Other income, net	3	10	14
Income (loss) before income taxes	(533)	1,064	2,108
Provision for (benefit from) income taxes	8	(347)	225
Net income (loss)	$ (541)	$ 1,411	$ 1,883
Net income (loss) attributable to non-controlling interest	—	—	—
Net income (loss) attributable to Robinhood	$ (541)	$ 1,411	$ 1,883
Net income (loss) attributable to Robinhood common stockholders:			
Basic	$ (541)	$ 1,411	$ 1,883
Diluted	$ (541)	$ 1,411	$ 1,883
Net income (loss) per share attributable to Robinhood common stockholders:			
Basic	$ (0.61)	$ 1.60	$ 2.12
Diluted	$ (0.61)	$ 1.56	$ 2.05
Weighted-average shares used to compute net income (loss) per share attributable to Robinhood common stockholders:			
Basic	890,857,659	881,113,156	888,504,958
	890,857,659	906,171,504	918,781,846

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- **Current ratio** (CA / CL)
    - 36,305 / 28,771 = **1.26**
- **Debt Ratio** (TL / TA)
    - 28,986 / 38,137 = **0.76 or 76%**
- **Equity Multiplier** (TA/TE or TA/Net Worth)
    - 38,137 / 9,151 = **4.17**
- **Total-Asset-Turn-Over** (Sales / Total Assets)
    - 4,473 / 38,137 = **0.117x**
- **Pre-tax Profit Margin** (EBT / Sales)
    - 2,108 / 4,473 = **47.13%**
- **Pre-tax Return-On-Assets** (EBT / TA)
    - 2,108 / 38,137 = **5.53%**
- **Pre-tax Return-On-Equity** (EBT / TE)
    - 2,108 / 9,151 = **23.04%**

Industry Classification & Benchmarks:

Robinhood Markets, Inc. is classified by the SEC under SIC 6211 (Security Brokers, Dealers & Flotation Companies). For benchmarking purposes, this analysis uses RMA's NAICS 523150 (Investment Banking and Securities Intermediation) industry table. This analysis refers to the values shown in the **4/1/24 - 3/31/25 ALL** column.

FINANCE—Investment Banking and Securities Intermediation NAICS 523150

Comparative Historical Data						Type of Statement	Current Data Sorted by Sales					
	15		14		12	Unqualified		2		2	1	7
	2		2		3	Reviewed				2	1	
	3		2		3	Compiled	1		1	1		
	8		3		8	Tax Returns	1	1	2		2	2
	20		26		19	Other		4	1	4	2	8
	4/1/22-3/31/23 ALL		4/1/23-3/31/24 ALL		4/1/24-3/31/25 ALL		0-1MM	10 (4/1-9/30/24) 1-3MM	3-5MM	35 (10/1/24-3/31/25) 5-10MM	10-25MM	25MM & OVER
	48		47		45	NUMBER OF STATEMENTS	2	7	4	9	6	17
	%		%		%	ASSETS	%	%	%	%	%	%
	37.1		36.8		33.6	Cash & Equivalents						33.0
	14.6		12.9		9.4	Trade Receivables (net)						11.1
	1.6		3.4		3.8	Inventory						9.2
	6.4		12.2		8.9	All Other Current						7.6
	59.6		65.2		55.8	Total Current						60.9
	12.7		11.0		8.0	Fixed Assets (net)						7.9
	6.5		7.6		14.7	Intangibles (net)						15.8
	21.1		16.2		21.5	All Other Non-Current						15.5
	100.0		100.0		100.0	Total						100.0
						LIABILITIES						
	3.6		4.2		3.4	Notes Payable-Short Term						6.4
	3.1		2.1		1.1	Cur. Mat.-L.T.D.						1.2
	6.6		9.7		8.3	Trade Payables						10.5
	.1		.1		.4	Income Taxes Payable						.1
	13.0		18.4		20.4	All Other Current						15.3
	26.4		34.4		33.6	Total Current						33.5
	30.9		19.3		23.3	Long-Term Debt						3.0
	.1		.2		.2	Deferred Taxes						.5
	10.6		10.7		4.7	All Other Non-Current						7.2
	31.9		35.4		38.3	Net Worth						55.8
	100.0		100.0		100.0	Total Liabilties & Net Worth						100.0
						INCOME DATA						
	100.0		100.0		100.0	Net Sales						100.0
						Gross Profit						
	82.1		80.5		79.3	Operating Expenses						79.5
	17.9		19.5		20.7	Operating Profit						20.5
	3.5		3.1		2.6	All Other Expenses (net)						2.8
	14.4		16.4		18.1	Profit Before Taxes						17.8
						RATIOS						
	4.4		6.0		4.3							3.8
	2.8		2.5		2.3	Current						1.7
	1.4		1.2		1.3							1.2
	4.0		4.9		3.8							2.9
	2.7		2.0		1.5	Quick						1.3
	1.1		.6		.8							.9
0	UND	0	UND	0	UND							0 UND
17	22.1	17	21.0	7	49.7	Sales/Receivables						18 20.0
52	7.0	36	10.1	34	10.7							41 8.9
						Cost of Sales/Inventory						
						Cost of Sales/Payables						
	2.6		1.7		2.7							2.6
	7.2		4.4		7.4	Sales/Working Capital						6.2
	20.6		11.8		43.6							34.3
	149.7		49.1		177.8							
(24)	16.8	(18)	23.4	(21)	11.1	EBIT/Interest						
	7.1		3.8		3.9							
						Net Profit + Depr., Dep., Amort./Cur. Mat. L/T/D						
	.0		.0		.0							.0
	.1		.0		.1	Fixed/Worth						.1
	1.0		.4		.4							.3
	.3		.3		.3							.5
	.9		1.2		1.1	Debt/Worth						1.0
	5.4		3.3		10.8							2.1
	137.8		79.7		172.6							209.4
(41)	29.9	(40)	21.6	(35)	42.6	% Profit Before Taxes/Tangible Net Worth						(16) 51.3
	10.7		6.0		6.0							13.8
	52.7		33.0		52.5							52.5
	11.7		11.5		16.7	% Profit Before Taxes/Total Assets						8.9
	.5		1.9		2.9							1.4
	UND		999.8		UND							246.0
	91.0		93.0		92.3	Sales/Net Fixed Assets						50.7
	16.5		27.3		14.4							13.2
	3.6		2.5		3.5							3.0
	1.6		1.5		1.7	Sales/Total Assets						1.4
	.7		.8		.7							.8
	.2		.1		.1							
(25)	.7	(23)	.2	(19)	.6	% Depr., Dep., Amort./Sales						
	4.7		.9		2.5							
	2.6		3.7									
(12)	10.1	(13)	15.7			% Officers', Directors' Owners' Comp/Sales						
	17.0		26.5									
	1766116M		1654943M		1547631M	Net Sales ($)	1726M	12941M	17590M	72148M	95128M	1348098M
	1478117M		1547279M		1523562M	Total Assets ($)	1095M	33917M	8623M	143506M	53656M	1282765M

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M = $ thousand MM = $ million

- **Current ratio**
    - **2.3**
- **Debt Ratio** (RMA calls equity ‘worth’)
    - 1 - 0.38.3 = **0.617 or 61.7%**
- **Equity Multiplier** (TA/TE or TA/Net Worth)
    - 100 / 38.3 = **2.61**
- **Total-Asset-Turn-Over**
    - **1.7**
- **Pre-tax Profit Margin** (using earnings before taxes, EBT, rather than net income)
    - **18.1%**
- **Pre-tax Return-On-Assets**
    - **16.7%**
- **Pre-tax Return-On-Equity**
    - **42.6%**

Comparative Analysis

Metric	Robinhood	RMA Benchmark	Difference	Assesment
Current Ratio	1.26	2.3	-1.04	Below Benchmark
Debt Ratio	0.76	0.61	0.15	Higher Leverage
Equity Multiplier	4.17	2.61	1.56	Higher Leverage
Total Asset Turnover	0.117	1.7	-1.583	Below Benchmark
Pre-tax Profit Margin	47.13%	18.1%	29.03%	Strong
Pre-tax ROA	5.53%	16.7%	-11.17%	Below Benchmark
Pre-tax ROE	23.04%	42.6%	-19.56%	Below Benchmark

Interpretations

- Liquidity
    - Robinhood's liquidity metrics are lower than the industry benchmark (1.26 current ratio compared to 2.3 industry benchmark). However, a current ratio of 1.26 still indicates that Robinhood's current assets exceed current liabilities, meaning the company can cover its short-term obligations.

- Efficiency in the use of assets
    - Robinhood is less efficient in using its assets compared to the industry benchmark. A total asset turnover of 0.117 indicates that Robinhood generates about $0.12 in sales for every $1.00 of total assets, while the industry benchmark of 1.7 indicates similar companies generate $1.70 in sales for every $1.00 of assets.

- Degree of financial leverage
    - Robinhood's debt ratio of 0.76 shows that a larger portion of their assets are financed through liabilities compared to the industry benchmark of 0.61. Robinhood's equity multiplier supports this with a value of 4.17 compared to the industry benchmark of 2.6, which further shows a greater reliance on liabilities to finance its assets.

- How well all expenses are being contained

    - Robinhood’s pre-tax profit margin of 47.13% is significantly higher than the industry benchmark of 18.1%, which demonstrates the effectiveness at which Robinhood handles expenses. Robinhood's pre-tax profit margin of 47.13% shows nearly half of its revenue remains as pre-tax earnings after the expenses reflected in EBT.

- Overall profitability
    - Robinhood’s pre-tax ROA of 5.53% demonstrates that Robinhood is less efficient at generating earnings from its assets compared to the industry benchmark of 16.7%. Similarly, Robinhood’s pre-tax ROE of 23.04% is short of the 42.6% industry benchmark, meaning Robinhood is generating weaker returns on equity.

Executive Summary

Robinhood shows strong pre-tax profit margins relative to the industry benchmark but weaker liquidity, asset efficiency, and returns on assets and equity relative to the industry benchmark. Its 47.13% pre-tax profit margin substantially exceeds the 18.1% benchmark, while its 5.53% pre-tax ROA and 23.04% pre-tax ROE are below the industry benchmark. Robinhood also exhibits greater financial leverage, with a 76% debt ratio compared with the 61% industry benchmark. Overall, the analysis suggests that profitability is a strength, while asset utilization, capital structure, and returns generated from the company's asset and equity base represent areas for further evaluation.

Key Takeaways

Strengths

- Pre-tax profit margin substantially exceeds the industry benchmark.
- Current assets exceed current liabilities.

Areas of Concern

- Liquidity is below the industry benchmark.
- Leverage is substantially higher than the benchmark.
- Asset turnover and ROA are considerably below benchmarks.
- ROE is below the industry benchmark despite relatively high leverage

Recommendations

- Given the stark difference in total asset turnover values between Robinhood and the industry benchmark (0.117 and 1.7 respectively), Robinhood could improve asset efficiency by increasing revenue generated from its existing asset base or by improving the productivity of its assets.
- For Robinhood to move closer towards the debt ratio benchmark (reducing their leverage), the company would need to reduce liabilities or increase assets relative to debt) (Robinhood at 0.76 debt ratio compared to industry benchmark of 0.61)
- For Robinhood to improve pre-tax ROA and pre-tax ROE (5.53% and 23.04%) compared to the industry benchmark (16.7% and 42.6%), the company would need to increase earnings or use its assets and equity more efficiently to generate higher returns.